

1.3 Developing your own Philosophy

Now that we know some investment philosophies, we will go ahead and build our own preferences that will guide our decision- making. We will answer:

What to buy?

When to buy?

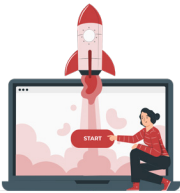
What valuations to buy?



1

Beginner - Reads and Borrows from what they Read.

Reading is an investor's best friend because it keeps you informed about current happenings around the globe. It also tells us about history, other practices, and mistakes that others have made. It makes us better and well-informed investors.



2

Follows what they read and learn. Few things work for them few don't.

When we first begin to learn, we will make mistakes. But it's fine! Even experts make a lot of mistakes in this field.



3

Repeats what works. Also, start testing own ideas.

Once we start investing, we realize few things that work and other that don't work for us. In light of what works, we must test and experiment with the ideas that work for us. If a particular type of company works for us, we will dig deeper in the same.

You will eventually start to understand what you are comfortable and what you are not comfortable with.